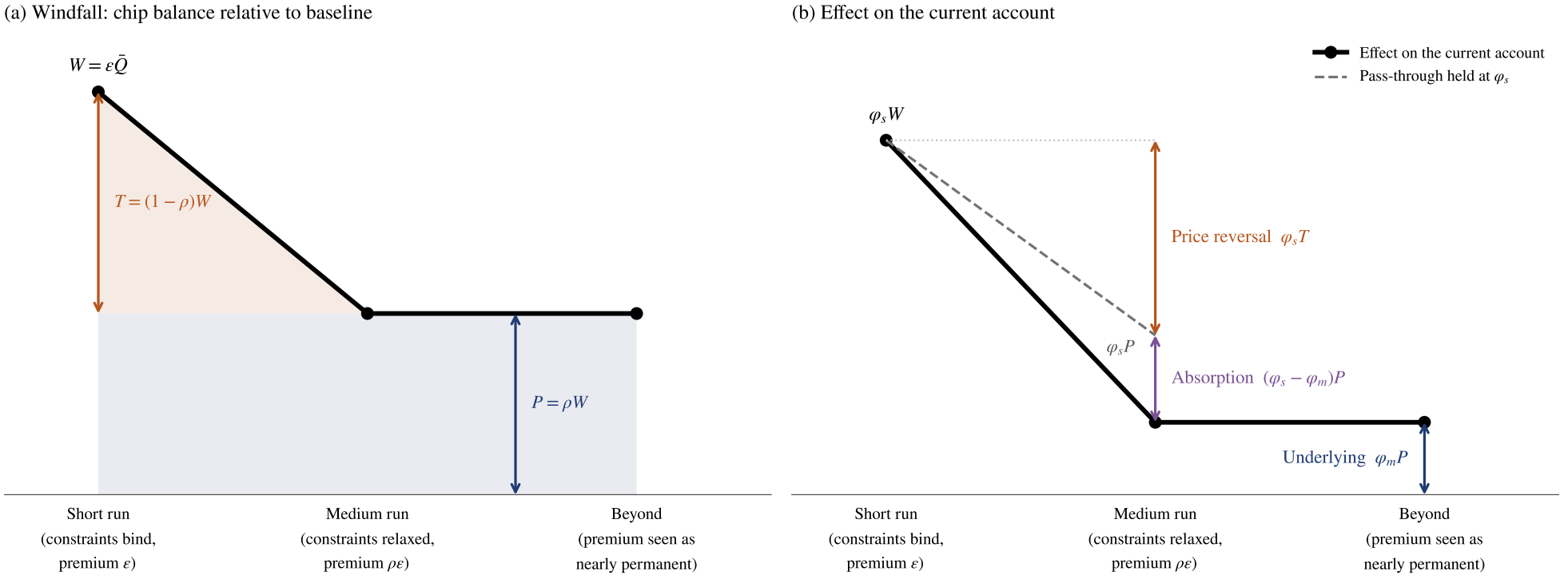
Two sources of temporariness



Notes: Schematic, not to scale. $\varphi_s = 1 - \theta$: short-run pass-through while investment and household spending are constrained (θ: share of the windfall paid out at once). $\varphi_m = \delta/(r+\delta)$: medium-run pass-through once the constraints are relaxed, when the remaining premium is expected to erode at rate δ. Transitory $= \varphi_s T + (\varphi_s - \varphi_m)P$; underlying $= \varphi_m P$.